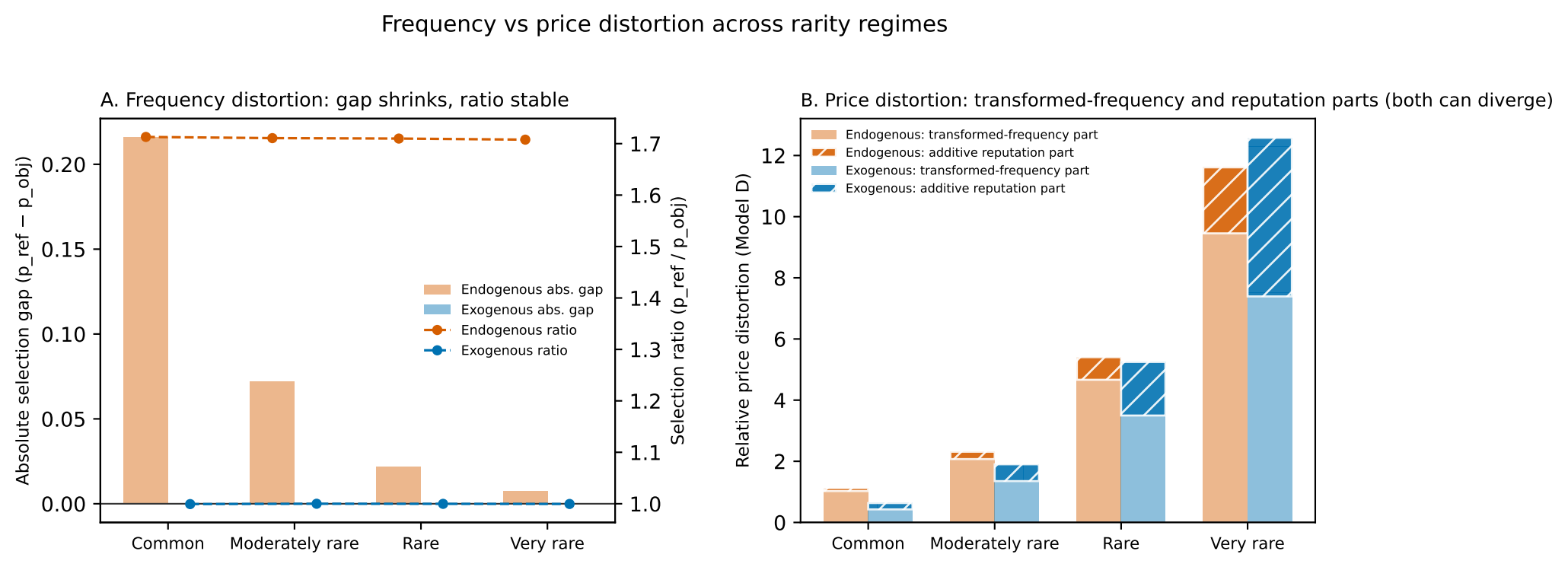
Frequency vs price distortion across rarity regimes
A. Frequency distortion: gap shrinks, ratio stable
Absolute selection gap (p_ref − p_obj)
Selection ratio (p_ref / p_obj)
0.00
0.05
0.10
0.15
0.20
1.0
1.1
1.2
1.3
1.4
1.5
1.6
1.7
Endogenous abs. gap
Exogenous abs. gap
Endogenous ratio
Exogenous ratio
Common
Moderately rare
Rare
Very rare
B. Price distortion: transformed-frequency and reputation parts (both can diverge)
Relative price distortion (Model D)
0
2
4
6
8
10
12
Endogenous: transformed-frequency part
Endogenous: additive reputation part
Exogenous: transformed-frequency part
Exogenous: additive reputation part
Common
Moderately rare
Rare
Very rare